

Industrial Sector in Bangladesh

ICT Industry

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Objectives of this Class

- ☐ Investigate the contribution of the industrial sector of Bangladesh.
- ☐ Explore the ICT/pharmaceutical industrial scenario in BD.
- ☐ Identify the weaknesses of the industrial sectors in BD.
- ☐ Please suggest measures to develop the industrial sector in Bangladesh.

Concept of Industrialization

- Industrialization is the process in which a society or country transforms itself from a primarily agricultural society into an industrial one based on the manufacturing of goods and services. Characteristics of industrialization include the use of technological innovation to solve problems as opposed to superstition or dependency upon conditions outside human control such as the weather, as well as more efficient division of labor and economic growth.
- Industrialization is part of a process where people adopt easier and cheaper ways to make things. Using better technology, it becomes possible to produce more goods in a shorter amount of time.
- Modernization and structural transformation of the economy and diversification of the economic base, increasing returns, technological progress and productivity increase, accelerated economic growth and employment creation, increase in incomes and standard of living of the people are the universally recognized dynamic benefits arising from industrial development.

Objectives of Industrialization

Macro objectives of industrialization are-

- ▶ Play a major role in economic development
- ▶ To increase GDP
- ▶ Provide a secure basis for a rapid of growth of income.
- ▶ Help in raising the standard of living
- ▶ Provide employment, meeting high income demands
- ▶ Brings in technological progress and change in the outlook of the people
- ▶ Decrease the dependency on foreign resources

Micro objectives of industrialization are-

- To provide employment to working labor force
- To supply consumer, capital and intermediary goods
- To support agriculture and service sectors
- To improve balance of payment positive by promoting export industry and import substitute industries

Contribution of Industrial Sectors

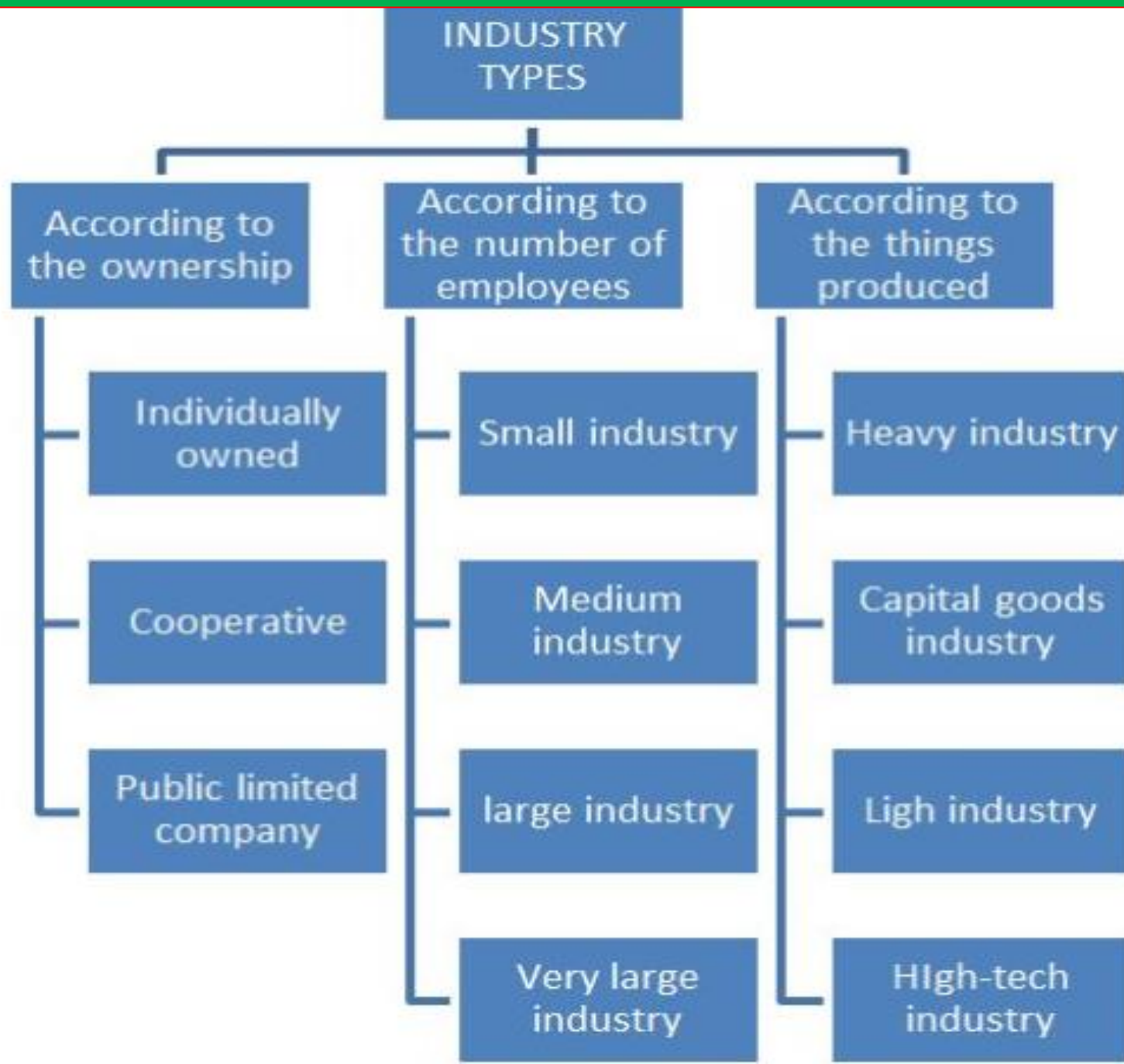
- Industrial Sector has given the **opportunity of employment** to millions of unemployed, especially innumerable uneducated women of the country. It is making significant contribution in the field of our export income.
- The contribution of the industry sector to the economy of Bangladesh has been increasing day by day.
- Contribution of **Industrial sector in GDP** is **35.36%** (Fiscal year 2020-2021)

Industrial Sector in GDP

Year	Contribution of Industrial sector in GDP (%)
1941-1950	4
1951-1960	5
1961-1970	10
1971-1980	11
1981-1990	12
1991-2000	15
2001-2011	30
2020-2021	35.36

Source: World Bank Report and Ministry of Finance, Bangladesh

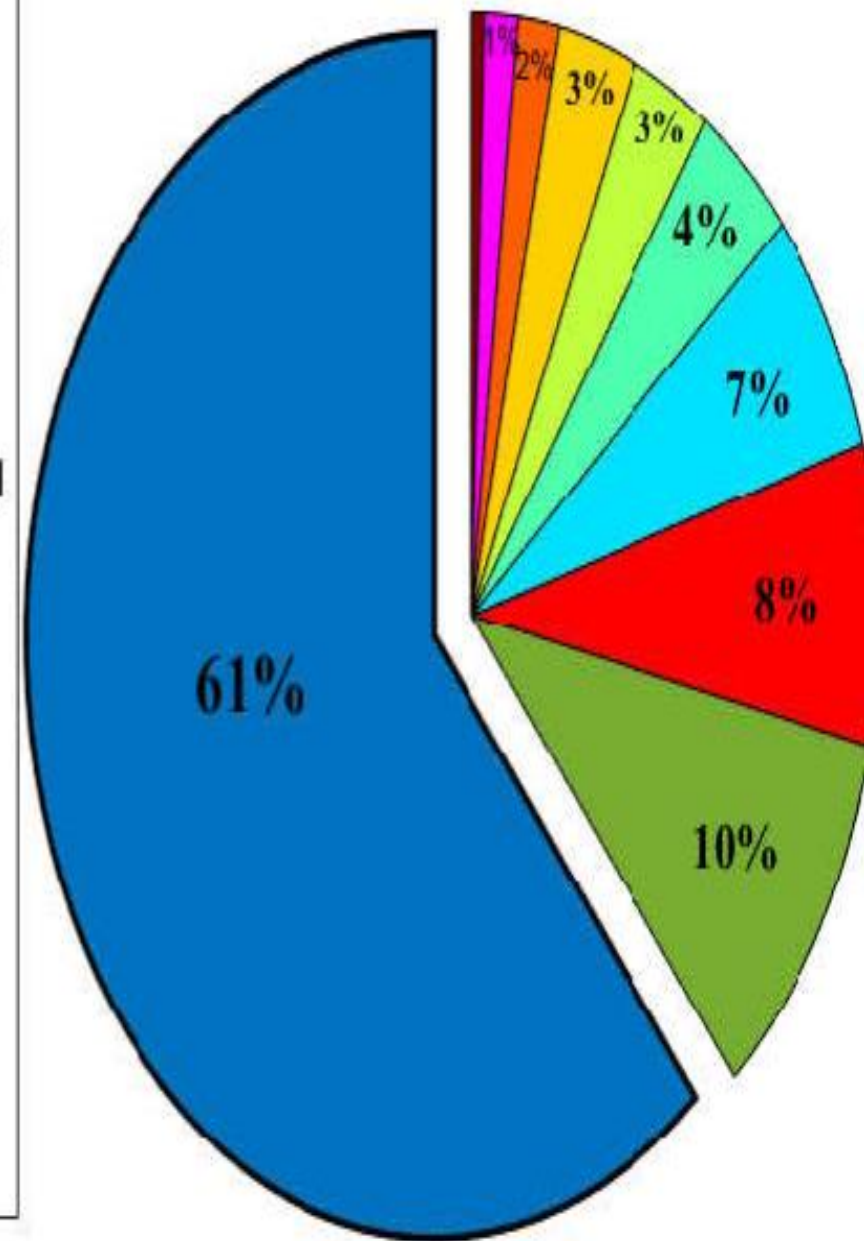
Classification of Industries in Bangladesh



- Large Industry
- Medium Industry
- Small Industry
- Micro Industry
- Cottage Industry
- Reserved Industry
- Thrust Sector Industries
- SME

Common Industries in Bangladesh

Agriculture	Jute,	Textile
	Cotton	Transportation and Accesories
	Fertilizer	Gas and Nonmetallic Products
Infrastructure	Textile	Food & Beverage
	Engineering,	Petroleum, Chemical & Plastics
	Shipbuilding	Footwear
Garment Industry	Steel	Iron, Steal & Metal Products
	Oil-refinery	Saw Milling & Wood Products
	Paper	Paper, Printing, & Publishing
Health Industry	Newsprint	Others
	Sugar	
	Chemicals	
Service Sector	Cement	
	leather	



Focused Industry: ICT

Information and communications technology (ICT) is often used as an extended synonym for information technology (IT). The term ICT is used to refer to the **convergence of audio-visual and telephone networks with computer networks**. It covers the vast area of information technology, communication technology and the telecommunication technology. ICT industries are broadly engaged in:

- ✓ Producing, selling and supporting **computing and communications equipment**, peripherals and components.
- ✓ Producing, selling and supporting **software** for computing and communications equipment and enterprise and user systems.
- ✓ Providing, selling and supporting **computing, information, communications, software and hardware services**.

ICT industries are a big and strategically important part of developing as well as developing economies. It provides meaningful and comfortable livelihoods for many people, generates good returns for investors, pays lots of taxes, and generate lots of business for other industries.

Development of ICT Industry-1

❑ **First Computer:** Bangladesh has about six decades of experience in using computers. In its early days, the ICT sector in Bangladesh was mainly focused on hardware operations. The first '**second generation**' mainframe computer was installed in 1964 at Dhaka University. Soon after this, several banks and industrial concerns started using computers, mainly for accounting.

❑ **First Computer Center:** In 1982, a computer center was established at the Bangladesh University of Engineering and Technology. This center, later renamed the **Department of Computer Science and Engineering**, has played a pivotal role in Bangladeshi IT education since its inception.

❑ **The Innovation of Bangla Writing:** The innovation of software concerning "Bangla writing" on computers materialized in **1987**. Mainul Islam managed to write Bangla on an Apple Macintosh computer. With the ability to use Bangla on computers, the value of computers in offices quickly rose.

❑ **Introduction of the Internet:** After the introduction of the internet in **1996**, the development of exportable software and multimedia systems commenced.

Development of ICT Sector-2

❑ **Journey of BCS:** The **Bangladesh Computer Society (BCS)**, an association of the IT professionals, for instance, was formed in 1979. **BCC**, the **Bangladesh Computer Council**, is the consequence of the evolution of the National Computer Committee constituted in 1983.

❑ **Journey of many Organizations:** In 1997 It is recognized that the ICT industry is a potential sector and it has an impact on the economy. After that in collaboration with industry associations (BCS, BCC, BASIS, and BACCO) and international trade support institutions the government has taken both short and long term measures to support and enhance the development of the domestic sector and increase the export of ICT products. BASIS, established in 1997, promotes the ICT sector through awareness building, practical education for new graduates and paid internships, and training programs for mid-career employees.

❑ **Connected with Submarine Cable:** Bangladesh got connected with its first undersea cable, SEA-ME-WE 4, in 2006.

Development of ICT Sector-3

❑ **Software Park:** Software Technology Park (STP) at Janata Tower was established in Dhaka in 2015.

❑ **High Tech Park:** Bangladesh Hi-tech Park Authority is a government agency in Bangladesh dedicated to establish, manage and operate technology business parks throughout the country. Formed in 2010, BHTPA is now implementing the projects including the Kaliakoir Hi-Tech Park in Gazipur District and Jessore Software Technology Park. Planned projects include Mohakhali IT Village in Dhaka, Barendra Silicon City in Paba Upazila of Rajshahi District, and Sylhet Electronic City in Companiganj Upazila, Sylhet. BHTPA is also approving private hi-tech park to implemented by private companies. Thus far, 39 hi-tech parks have been under constructions and approved for construction by BHTPA in different regions in Bangladesh.

❑ **A2I Project:** Aspire to Innovate (a2i) of the ICT Division supported by UNDP, a special program of the government's Digital Bangladesh agenda, is a key driver of the nation's goal of becoming a developed country by 2041 and in achieving the 2030 Sustainable Development Goals.

Prospects or Strengths of ICT Industry

1. One of the biggest strengths of the ICT sector is the young and educated workforce.
2. ICT industry in Bangladesh is still relatively small. Looking at the characteristics of the market, and the growth of ICT services and products exported from Bangladesh over recent years we can conclude that the significance of the ICT sector for the Bangladeshi economy will grow in the near future.
3. According to BASIS estimations within the next five years 5% of Bangladesh's total GDP will come from the software and IT services sector and over 1,50,000 Software and IT professionals will be working in the Bangladeshi IT industry by 2025.
4. Export earnings from software and IT-related services of the last 12 months crossed the \$1 billion mark.
5. It is internationally recognized that if the use of internet increases by 10%, the gross domestic product (GDP) of a country will go up by 1%.
6. Bangabandhu Hi-Tech Park at Kaliakoir will create jobs for 1,00,000 people

Development: ICT Policy 2009

ICT POLICY 2018

The Bangladesh government developed the National ICT Policy in 2009 and amended in 2015 & 2018. The Bangladesh government defined a single vision, 8 objectives, 55 strategic themes and 343 action items in the National ICT Policy 2018.

National ICT Policy – 2018 (8 Objectives & 55 Themes)

Digital
Government
(6 Themes)

Digital Security
(9 Themes)

Social Equity,
Universal
Access
(8 Themes)

Education,
Research,
Innovation
(9 Themes)

Skill
Development,
Employment
Generation
(5 Themes)

Strengthening
Domestic
Capability
(7 Themes)

Environment,
Climate &
Disaster
Management
(5 Themes)

Enhancing
Productivity
(6 Themes)

ICT's Contribution to National Economy

Industry Growth & Export Revenue

- By **2020**, Bangladesh's software and IT-services sector had grown to around **USD 1 billion** in annual revenue, signaling solid progress in the industry.
- In the **fiscal year 2020–2021**, export earnings from software and IT services also reached approximately **USD 1 billion**, underscoring the sector's significance to the national economy (per BASIS).

► Employment in the Sector

- As of **2022**, the industry was estimated to employ over **100,000 professionals** in Bangladesh, with expectations for continued growth in subsequent years.

Problems of ICT Industry

As a developing market, Bangladesh has a fair set of weaknesses.

The main weaknesses are:

1. Infrastructure and power shortages.
2. Lack of reliable infrastructure.
3. Internet speed, bandwidth, and electricity
4. Lack of focus and scale to take up large-scale long-term projects.
5. Lack of soft skills in Bangladesh (If you have 100 candidates for the job, probably just 2 will have the right soft skills)
6. Gap between what the industry needs and IT graduates.
7. Lack of investment
8. Political instability.

Problems of Industrial Sector

- High Competition and impact of free market economy
- Malpractices in providing industrial loan
- Highly dependency on jobs in place of entrepreneur mind
- Lack of FDI and capital for investment and reinvestment mind
- Workers do not receive their rights
- Labor unrest
- Poor presence of labor rights advocacy
- Unstable political situation
- High rate of corporate tax
- Lack of raw materials in various industries

- **Uncertainty of power and fuels**
- **Lack of well trained up manpower**
- **Lack of technological knowledge and skills**
- **Lack of disruptive thinking**
- **Red Tapism (Bureaucratic behavior)**
- **Absences of compliances**
- **Inadequate port facilities**
- **Withdrawn quota advantage**
- **Lack of research and innovation**
- **Imbalance trade and business**

Thing to do for development

- ✓ Role of policy-makers
- ✓ Capacity-building of the workforce.
- ✓ Prepare Bi-lateral, Multi-lateral Business alliance.
- ✓ Imparting training to make skilled workers.
- ✓ Stabling the Political Situation.
- ✓ Private sectors development
- ✓ Developing ICT Capacity.
- ✓ Reducing High Rate of Corporate Tax.
- ✓ ICT access opportunity for the citizen
- ✓ Reducing tax on technologies, hand sets and other equipments related to the telecommunication
- ✓ Conducting more research works for developing telecom sector
- ✓ Use of cost reduction strategy of internet
- ✓ Removals of export problems etc.
- ✓ Removing infrastructural bottlenecks
- ✓ Use of cost reduction strategy,
- ✓ Production of sufficient raw materials in the country.
- ✓ Assurance of safety, salary and other facilities of the workers
- ✓ More advancement of EPZ
- ✓ **Technology and efficiency**
- ✓ Friendship to all, business to all.....

Chapter Related Questions

- What do you mean by the ICT industry?
- Mention the development history of the IT sector in Bangladesh.
- What kinds of steps have been taken by the government of Bangladesh to develop the ICT sector?
- What are the problems with the ICT industry in Bangladesh?
- What types of solutions would you propose to overcome the problems in ICT industry

Thank You